WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

MOZAMBIQUE

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Maputo and Maputo Province	Capital and commercial centre; the Port of Maputo handled a record 32 million tonnes in 2025 under a concession now extended to 2058, and nearby Beluluane Industrial Park is one of the largest economic zones	Financial services, port logistics, manufacturing, trade
Afungi / Palma, Cabo Delgado	Onshore LNG hub: TotalEnergies' 13 Mtpa Mozambique LNG resumed construction in January 2026, and ExxonMobil's 18.6 Mtpa Rovuma LNG is targeting a final investment decision before end-2026	LNG construction, oilfield services, supply chain, housing
Rovuma Basin (offshore)	Coral Sul FLNG has produced since 2022; Coral Norte (about 3.6 Mtpa) will take Coral output to about 7 Mtpa, with a Technip Energies-led consortium awarded the EPCIC contract	Offshore gas, marine services, engineering
Beira / Sofala	Central port and gateway of the Beira corridor to inland neighbours, with port upgrades and rail improvements on the Machipanda route under way	Port logistics, transit trade, agro-processing
Nacala / Nampula	Northern gateway of the Nacala corridor, one of three trade corridors serving Mozambique's landlocked neighbours	Logistics, agro-processing, mineral exports
Tete	Coal-mining province and home of the Cahora Bassa hydropower plant, which supplies a large share of national electricity; coal underpins exports to India, the top export market	Coal, hydropower, energy services
Special Economic Zones and Industrial Free Zones	A new regulation (Decree 12/2026) offers customs-duty suspension and a new isolated free-zone status for strategic projects outside existing zones	Agro-industry, textiles, pharmaceuticals, metallurgy, vehicle assembly

INVESTOR ENTRY ROUTES

- APIEX (Investment and Export Promotion Agency) is the single agency for registering and facilitating private investment projects and promoting exports

- Private Investment Law No. 8/2023 and its regulation (Decree No. 8/2024) guarantee fair and non-discriminatory treatment of national and foreign investors, property protection and the transfer of funds abroad, with a registration-only route for projects up to MZN 32 billion
- Special Economic Zones and Industrial Free Zones under Decree No. 12/2026, offering customs-duty suspension; free-zone firms export at least 70% of output, and strategic projects of at least MZN 3.25 billion with 150 local jobs can obtain isolated free-zone status
- Banco de Moçambique oversees the foreign-exchange regime; profits and dividends may be transferred abroad once tax and exchange rules are met, while exporters currently convert 50% of export receipts into meticais (regime extended for six months from October 2026)
- Partnership with the state hydrocarbons company ENH, which holds stakes alongside international operators in the Rovuma Basin LNG developments
- Concessions and public-private partnerships in ports, rail and industry, including the Maputo port concession and a recently launched PPP process for vehicle assembly
- Bilateral investment treaties, including the China–Mozambique BIT in force since its 2001 signature, alongside preferential EU and UK market access through the SADC EPA and UK–SACUM EPA

MARKET-ENTRY OBSERVATION

Mozambique in October 2026 is moving from recovery into a new investment cycle. GDP grew 1.7% year-on-year in Q2 2026, the third consecutive quarter of growth following the post-election slowdown, led by household consumption (+8.4%) and services, with hotels and restaurants up 14.5%. The IMF projects 0.5% growth for 2026 and the African Development Bank 2.1%, rising to 3.5% in 2027. Foreign direct investment reached a record $5.7 billion in 2025, up 60.2%, and the government expects $5.9 billion in 2026 as LNG construction accelerates: TotalEnergies relaunched Mozambique LNG on 1 January 2026, Eni's Coral Norte has moved into construction, and ExxonMobil is targeting a final investment decision on Rovuma LNG before end-2026. The reform record is strengthening, with removal from the FATF grey list in October 2025 and the EU high-risk list in December 2025, a new SEZ regulation in April 2026, and a policy rate of 9.25%, the lowest since December 2015, with inflation at 6.5% in August.

Mozambique's main near-term challenge is fiscal and foreign-exchange liquidity ahead of the LNG revenue era. Public debt stood at 74.7% of GDP in 2025, domestic borrowing rose 16.6%, and the IMF notes constrained access to foreign currency. The authorities are responding: Mozambique repaid its outstanding IMF loans early in March 2026, is negotiating a new Extended Credit Facility programme targeted for Board approval by end-2026, is pursuing a fiscal consolidation package, and has prioritised foreign currency for fuel, food and medicines. Net international reserves reached a record $4.26 billion in February 2026 and stood at about $3.5 billion in May after the IMF repayment. For investors, this favours export-earning and foreign-currency-generating projects, which also stand to benefit most as gas revenues build towards the end of the decade.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Foreign-exchange availability	Access to foreign currency is constrained, exporters must convert 50% of receipts into meticais, and priority is given to fuel, food and medicine imports	Structure projects around export earnings or offshore financing, agree FX arrangements with banks early, and track the expected IMF programme, which should support liquidity
Public debt and fiscal pressure	Public debt was 74.7% of GDP in 2025, with domestic debt rising and some arrears on external and domestic obligations	A new IMF ECF programme and fiscal consolidation are in preparation; use DFI or export-credit cover and payment-security mechanisms for state-linked contracts
Security in Cabo Delgado	An insurgency active since 2017 delayed LNG development, but Rwandan forces have supported security since 2021 and force majeure on Mozambique LNG was lifted in November 2025	Follow operator and government security protocols and partner with established LNG contractors; the restart opens a large supply-chain opportunity
Climate exposure	Cyclones and drought periodically affect output, and the IMF cites recent climate	Build climate-resilient design and insurance into projects; demand for

Issue	Potential Impact	Possible Mitigation
	shocks; drought has also reduced hydropower supply	resilient infrastructure and new generation capacity is growing
Power pricing for heavy industry	The Mozal aluminium smelter moved to care and maintenance from March 2026 after no new power agreement was reached, weighing on manufacturing output	Secure long-term power agreements before committing to energy-intensive projects; the gap creates opportunities in new generation and industrial power supply
Concentration of FDI in extractives	Extractive industries took 91.5% of FDI in 2025, while manufacturing attracted about 2%	The new SEZ regime targets agro-industry, textiles, pharmaceuticals and vehicle assembly, giving early non-extractive entrants room to grow
Administrative and governance processes	Licensing and approvals can take time, though removal from the FATF and EU high-risk lists in 2025 reflects real progress on financial integrity	Use APIEX facilitation, the registration-only investment route and experienced local counsel; rely on Investment Law and BIT protections

INVESTOR RISK NOTE

Mozambique's risk profile is that of a frontier economy at the start of a major gas-led investment cycle. Its strengths are significant: world-scale LNG resources now moving into construction across three projects, record FDI of $5.7 billion in 2025, a strategic coastline serving landlocked neighbours, and improving financial-integrity credentials following removal from the FATF and EU high-risk lists. The near-term constraints are fiscal and foreign-exchange liquidity, with public debt at 74.7% of GDP and limited foreign-currency availability; the authorities are addressing these through a planned IMF Extended Credit Facility programme, fiscal consolidation and foreign-exchange prioritisation, and the early repayment of IMF loans in March 2026 signals a commitment to credibility. Security in Cabo Delgado has improved sufficiently for LNG operators to lift force majeure, and climate exposure is a known factor that can be managed through resilient design and insurance. Investors who generate foreign currency, partner with established operators and plan for local-currency and payment timing will be best placed to benefit.

MARKET ACCESS

Mozambique is a member of the Southern African Development Community (SADC), giving preferential access to a regional market of more than 250 million people, and of the African Continental Free Trade Area, covering a market of 1.4 billion people; it is also a WTO member. The EU–SADC Economic Partnership Agreement, applied since 2018, provides duty-free, quota-free access to the EU, and the UK–SACUM EPA gives equivalent access to the UK. Exports reached $7.8 billion in 2025, led by India (20.6%), South Africa (12.6%), the United Kingdom (8.3%) and China, with coal, natural gas, aluminium, heavy mineral sands, electricity and agricultural products such as cashew nuts the main products. With more than 2,700 km of Indian Ocean coastline and borders with six countries, Mozambique's Maputo, Beira and Nacala corridors make it the natural sea gateway for much of southern and central Africa.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Daniel Chapo)	Sets economic policy and leads engagement with LNG investors, including direct talks on the timing of the Rovuma LNG investment decision	Primary reference point for Mozambique's strategic direction and flagship projects
APIEX (Investment and Export Promotion Agency)	Registers and facilitates investment projects, certifies SEZ operators and promotes exports	Standard first point of contact for market entry, approvals and incentives
Banco de Moçambique	Sets monetary policy (policy rate 9.25%) and the foreign-exchange rules governing conversion and profit transfers	Essential for structuring FX flows, repatriation and banking-sector engagement

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Finance	Leads fiscal policy, debt management and negotiations on a new IMF Extended Credit Facility programme	Relevant for state-linked contracts, payment security and macro-fiscal outlook
ENH (national hydrocarbons company)	State partner in the Rovuma Basin developments alongside ExxonMobil, Eni, CNPC, KOGAS and others	Key counterpart for any gas-sector or LNG supply-chain engagement
CFM (Ports and Railways of Mozambique)	State ports and rail company and partner in the Maputo port concession, central to the three regional corridors	Main counterpart for port, rail and logistics investment
Hidroeléctrica de Cahora Bassa (HCB)	Operator of the Cahora Bassa hydropower plant and a key party in industrial power-supply arrangements	Relevant for energy-intensive industry and power-sector partnerships

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Confederation of Business Associations of Mozambique (CTA) is the main private-sector body and the government's principal dialogue partner, and the annual Maputo International Fair (FACIM), whose 60th edition took place in 2025, is the leading trade and investment showcase. APIEX runs investor outreach and sector promotion, including events aimed at specific partner countries. The major LNG operators, TotalEnergies, ExxonMobil and Eni, and their contractors maintain substantial in-country presence and local-content programmes and are a valuable source of supply-chain intelligence. The IMF, World Bank and African Development Bank are actively engaged in Mozambique, and the EU has provided funding for security support in Cabo Delgado.

INVESTOR PROFILE BEST SUITED

Mozambique best suits investors with a long-term horizon and the ability to generate or access foreign currency: LNG supply-chain, engineering, logistics and services companies positioned for the build-out of Mozambique LNG, Rovuma LNG and Coral Norte; port, rail and corridor investors serving landlocked neighbours; mining and mineral-processing investors in coal, heavy sands and graphite; and agro-processing, light manufacturing and vehicle-assembly investors drawn by the new SEZ regime and duty-free access to EU and UK markets. Development finance institutions, export-credit agencies and investors comfortable with frontier-market structuring are particularly well placed, given the support that risk-mitigation instruments can provide during the transition to the LNG revenue era.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage APIEX and confirm the investment route
Register the project under the Private Investment Law and confirm eligibility for incentives and the registration-only approval route.

STEP 2: Agree foreign-exchange and repatriation arrangements early
Work with Banco de Moçambique rules and partner banks on conversion requirements and profit transfers, and favour structures with export or foreign-currency earnings.

STEP 3: Position for the LNG supply chain
Engage ENH and the operators' contractors on local-content and procurement opportunities as Mozambique LNG, Coral Norte and Rovuma LNG advance.

STEP 4: Assess SEZ and Industrial Free Zone incentives
Review Decree 12/2026 for customs and export incentives, including the isolated free-zone status for strategic projects outside existing zones.

STEP 5: Track the IMF programme and use risk-mitigation partners
Follow progress towards an Extended Credit Facility by end-2026 and involve DFIs or export-credit agencies to cover payment, currency and security risks.